

be invested for a term of years. (Under 1940 conditions short-time investment involves as much trouble as income.) It seems fairly evident, on the whole, that other types of investments by business enterprises—whether in bonds or in stocks—can offer an appreciably higher return only at risk of loss and of criticism.

D. Institutional Investment. We shall not presume to suggest policies for financial institutions whose business it is to be versed in the theory and practice of investment. The same might be said for philanthropic and educational institutions, since these generally have the benefit of experienced financiers in shaping their financial policies. But in order not to dodge completely a very difficult issue, we venture the following final observation: An institution that can manage to get along on the low income provided by high-grade fixed-value issues should, in our opinion, confine its holdings to this field. We doubt if the better performance of common-stock indexes over past periods will, in itself, warrant the heavy responsibilities and the recurring uncertainties that are inseparable from a common-stock investment program. This conclusion may perhaps be modified either if there is substantial unanimity of view that inflation must be guarded against or if the insufficiency of income compels search for a higher return. In such case those in charge may be warranted in setting aside a portion of the institution's funds for administration in other than fixed-value fields, in accordance with the canons and technique of security analysis.⁷

⁷ Yale University now follows a policy of investing part of its funds in "equities"—defined as common stocks and nonpaying senior issues. The percentage varies in accordance with a fixed formula, somewhat as follows: The initial proportion is 30% of the total fund. Whenever a rise in the market level advances this figure to 40%, one-eighth of each stock holding is switched into bonds. Conversely, whenever a decline in the market reduces the proportion to 15%, bonds are sold and one-third additional of each stock is bought. See address of Laurence G. Tighe, Associate Treasurer of Yale University entitled "Present Day Investment Problems of Endowed Institutions," delivered on February 14, 1940 before the Trust Division of the American Bankers Association. It was summarized in the *New York Sun* of February 20, 1940.